Kaarthikeyan took the help of the Tamil Nadu Police to get Shanmugham. Sending the tracking team to Nagapattinam would alarm the locals, including the local police, who were on the smuggler's payroll. Instead, Kaarthikeyan and Raju used their connections with the top brass of the state. A stern message was sent to Shanmugham: Cooperate with the investigation or face arrest. Shanmugham chose the first option. However, he filed for anticipatory bail before surrendering. He was a man of connections and arresting him in his den would not have been easy.

Shanmugham tuned out to be valuable to the investigation. The dark, curly-haired smuggler, aged forty, had direct links with the LTTE's top bosses. He made money smuggling gold. The LTTE gave him the freedom of movement on the Palk Strait in exchange for him ferrying arms and ammunition, explosives, communication instruments, gold biscuits, etc., for them between Jaffna and Tamil Nadu. The SIT knew he was the key to uncovering the nexus in Tamil Nadu between arms dealers, smugglers and terrorists. It would also reveal the shipping routes for arms being sent to India. Another crucial revelation Shanmugham made before the SIT was that it was he who had received Sivarasan, along with eight other assassins, in Kodiakkarai on 1 May. Mahalingam's claims corroborated what Koneswaran's testimony earlier to the Q branch of Tamil Nadu Police had revealed. The group consisted of Sivarajan, Dhanu, Shubha, wireless communications operator Nero, Santhan, Koneswaran, Vijayanandan, Sivaruban and the 'driver' Anna.

The thin man came in perfectly ironed, all-white clothes, in stark contrast to the glitter of his gold wristwatch, sunglasses and neck chain. Shanmugham seemed to have realized that it would be dangerous for him to implicate the LTTE or reveal his role in establishing the organization's activities in Tamil Nadu. Therefore, he chose not to cooperate any more and tried to evade every question thrown at him. The SIT believed some very important documents, which could get them fresh leads in the investigation, were in the smuggler's possession. Shanmugham was the man who had arranged Sivarasan's transportation from Jaffna to India twice; he had also done so once for his nine-member hit squad and on another occasion for